

Tesla, Inc.
 TSLA NASDAQ

Hold **\$374.02** ▼ **1.79%** 12M Price Target **\$420.00** 52-Week Range **\$297.82 – \$498.83** Market Cap **\$1.40T**

TSLA: Slides Into Earnings as Robotaxi Spending Worries Mount

WHAT HAPPENED

- TSLA is down about 5.6% over the past week heading into Wednesday's earnings — the market is nervous, and today's low volume (~10M shares vs 30M+ recent days) tells me this isn't panic selling, it's buyers stepping aside before the print. Translation: nobody wants to be a hero the day before earnings.
- BYD delivered 557K EVs in Q2 — that's more than Tesla, and the Motley Fool piece hammering "global dominance" narratives is exactly the kind of story that erodes the premium multiple. Meanwhile, IBD is flagging that investors want answers on Robotaxi and Optimus cash burn, meaning the market is worried Musk is spending big with no near-term payoff.

WHY IT MATTERS

The options market is flashing a real warning — 40K+ contracts of \$380 puts and 59K of \$375 puts expiring this week is smart money betting on (or hedging against) a bad earnings reaction. That's not random; someone with size expects a miss or ugly guidance. The bigger picture: Tesla is caught in a policy squeeze — the federal \$7,500 EV tax credit was killed under the Trump administration's "One Big Beautiful Bill" (took effect Sept 2025), and CARB credit revenue is drying up as other states follow. So the auto business faces a demand headwind AND a margin headwind at the exact moment Musk is asking investors to fund a multi-year AI/robotics moonshot. This earnings call is really about whether Musk can convince the Street that Robotaxi (which just launched limited service in Austin) is a real business, not a slide deck.

POLICY & POLITICAL WATCH

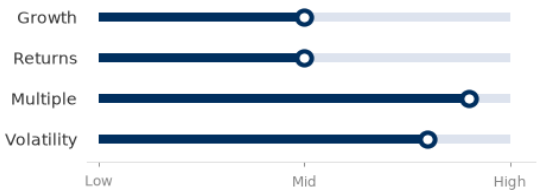
The killer policy story for Tesla right now is the elimination of the federal EV tax credit — that's a direct \$7,500 hit to consumer demand, and it's already showing up in softer US delivery numbers. On the other side, the Trump administration's push to loosen federal autonomous vehicle rules is a genuine tailwind for Robotaxi — NHTSA has been signaling a more permissive framework that would let Tesla scale driverless service faster than under the prior regime. Also watch China tariffs: any escalation helps Tesla domestically (blocks BYD) but hurts them in Shanghai, where they still build a huge chunk of global supply — it cuts both ways.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$374.02
12M Price Target	\$420.00
Upside / (Downside)	+12.3%
Market Cap	\$1.40T
FY2026E Revenue	\$108M
FY2027E Revenue	\$128M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	174.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$410.00	\$375.00	\$340.00
6 Months	\$480.00	\$400.00	\$310.00
1 Year	\$550.00	\$420.00	\$280.00
2 Years	\$700.00	\$450.00	\$250.00
5 Years	\$1000.00	\$550.00	\$200.00
10 Years	\$1800.00	\$750.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.4% over 5 days) and semis are recovering — chips are riding the AI capex story, and energy is benefiting from the administration's fossil-friendly stance and Middle East premium.

COOLING OFF: Broad Tech is down 2.4% over 5 days as investors de-risk ahead of megacap earnings — Google, Tesla, Intel all report this week and nobody wants to hold the bag.

ROTATION WATCH: Money is rotating out of high-multiple growth into energy and select cyclicals — that's a headwind for TSLA specifically because it's the poster child for expensive growth. Any hint of disappointment gets punished harder in this tape.

RELATED PLAY: If you like the Robotaxi thesis but don't want single-stock risk, the AV supply chain (lidar, compute, mapping) benefits regardless of which platform wins — MBLY and NVDA both have exposure.

WHO'S WINNING IN THIS SPACE?

- BYD (BYDDY): Crushing on volume and undercutting on price globally — they've become the reference point for what a scaled EV company looks like.
- GM (GM): Quietly winning on EV portfolio expansion and cheap valuation (~6x earnings) — the anti-Tesla trade if you want auto exposure without the AI-lottery-ticket premium.

TSLA CONTEXT: TSLA is lagging both traditional autos AND Chinese EV peers on fundamentals right now — the stock is being held up entirely by the AI/Robotaxi narrative. That means earnings is binary: nail the AI story or the stock decouples from its premium multiple.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term optionality but the setup into earnings is unfavorable and the policy backdrop for the core auto business is genuinely worsening.

POSITION SIZE: 2-4% max — this stock can move 15% on a single tweet or earnings call, so size it like the volatile bet it is.

ENTRY POINTS: I'd rather buy the reaction than the anticipation — if it dumps to \$330-350 on a weak print, that's when the risk/reward gets interesting. Chasing here into earnings is gambling.

TIME HORIZON: 12-24 months — you're waiting for Robotaxi to scale from pilot cities to a real fleet, which is a 2027 story, not a 2026 story.

WHEN TO BAIL: Auto gross margins below 15% two quarters in a row, Robotaxi rollout stalls out in Austin/Phoenix, or Musk announces he's leaving to run something else full-time.

HEDGING: Simplest hedge is not oversizing the position. If you want to get fancy, own some BYD or GM as a pair — if Tesla loses share, those names benefit directly.